# UNIT 2

# ENTREPRENEURSHIP SUPPORT SYSTEM

**2.1. Introduction**

**2.2. Objectives**

**2.3. Meaning of Entrepreneurship Support System**

**2.4. Major Components of Entrepreneurship Support System**

**2.5. Objectives of Entrepreneurship Support System**

**2.6. Importance of Entrepreneurship in India**

**2.7. Support and Sustainability of Entrepreneurship**

**2.8. Major Entrepreneurship Support System of India**

**2.9. Points to Remember**

**2.10. Check Your Progress**

**2.11. Bibliography/References**

**2.12. Suggested Readings**

## 2.1 INTRODUCTION

A system generally refers to a set of interconnected parts or components that work together as per a particular process, for generating a specified outcome or result. It is a complete whole that leads to an effective result. The focus and outcomes are much more specific to a support system. A support system refers to a set of factors or elements that supplement the building or making of

something or someone. This support may be the form of tangible like money or material and can be intangible form such as emotional, or psychological. Both are important in their functioning. As such, a support system may be considered the backbone for anything to be successful and effective. Any budding entrepreneur needs support (both tangible and intangible). Moreover, it would be more beneficial if this support flows in the form of a well-defined system. The entrepreneurial support system forms the platform upon which the entrepreneur shall build his/her enterprise. It provides the basis for starting an enterprise to nurture the entrepreneurial activities towards the growth of the enterprise and also until the achievement of maturity in business operations. Without an entrepreneurial support system, there is no existence of entrepreneurship at all.

A support system for entrepreneurship is critical because of the inherent nature of business and its management and operations. Entrepreneurship arises from the generation of a business idea. It is an extremely complicated task. Sometimes new entrepreneurs take years to arrive at a feasible and viable business idea. Similarly, drawing up a business plan and a business model is a difficult task to operate. In all practicality, these activities cannot be executed effectively without the help and advice from professionals in the field. Without a support system, entrepreneurs are not even able to open a small shop. The entrepreneurial support system does not confine itself only to the enterprise start-up. It is also about the growth and development of the enterprise.

## 2.2 OBJECTIVES

- After going through this unit, the learners will be able to:
- Understand the meaning of the entrepreneurship support system
- Explain the major components of the entrepreneurship support system
- Learn about the objectives of the Entrepreneurship support system
- Recognize the importance of entrepreneurship in India
- Describe the support and sustainability of entrepreneurship
- Explain the major entrepreneurship support system in India

## 2.3 MEANING OF ENTREPRENEURSHIP SUPPORT SYSTEM

Entrepreneurship is the ability and readiness to develop, organize, and run a business enterprise and face any uncertainties to make a profit. Entrepreneurship is the capability and willingness to create, organize, and manage a business venture, including handling its inherent risks, to make a profit. An entrepreneurship support system refers to the infrastructure, resources, and services available to assist entrepreneurs at different stages, from the idea phase to establishing and scaling a business for future growth. This system includes various institutions, programs, and stakeholders that foster a supportive environment, helping entrepreneurs navigate challenges and maximize opportunities.

## 2.4 MAJOR COMPONENTS OF THE ENTREPRENEURSHIP SUPPORT SYSTEM

1. **Availability of financial support and access to capital**- Access to economic resources is a critical factor in fostering growth, innovation, and sustainability for individuals, startups, and businesses. Various avenues of financial support cater to diverse needs, offering unique benefits and limitations. The key points include:

- **Bank Loans and Microfinance**- Traditional financial institutions offer loans to individuals, businesses, and organizations for various purposes, such as expansion, working capital, or equipment purchases**.** Microfinance provides finance to low-income individuals and underprivileged people who are deprived of financial services**.**
- **Venture Capital (VC)-**Venture capital is a kind of funding that provides funds to start-ups or, emerging companies in exchange for equity**.** Equity financing is provided by venture capital firms to startups and companies functioning at early stages with high growth potential.
- **Angel Investors-**An angel investor is an individual who provides capital for startup businesses, usually in exchange for convertible debt or ownership equity**.** High-net-worth individuals who provide financial backing to startups, usually in the early stages, in exchange for equity or convertible debt. Angel investors are very attractive to startups with promising ideas but it is limited access to institutional funding.

- **Government Grants and Subsidies-** Non-repayable financial assistance provided by governments to support specific sectors, initiatives, or communities. Subsidies often reduce costs for businesses or consumers**.**

- **Impact Investing-**Investments made to generate positive social or environmental impact alongside financial returns. The impact investment strategy can involve varying types of assets including stocks, bonds, mutual funds, or microloans.

**2. Training, Skill Development, and Capacity Building-**This component focuses on equipping individuals with the essential knowledge, skills, and mindset needed to succeed in entrepreneurship. This component includes:

- **Workshops-**Workshops are focused, interactive sessions designed to address specific areas of entrepreneurial interest. It provides actionable insights and practical knowledge in a short period. It encourages networking and collaboration among participants.

- **Business Development Programs-** These are comprehensive initiatives aimed at fostering the growth and sustainability of entrepreneurial ventures**.**

- **Online Learning Platforms**-Digital platforms offering flexible and scalable opportunities for entrepreneurs to learn at their own pace. Courses such as entrepreneurship, technology, and business management have been offered on the online platform.

- **Mentorship and Coaching Programs-** The Programs are offered to pair entrepreneurs with experienced mentors and coaches for personalized guidance**.**

- **Incubators and Accelerators-**Specialized organizations that provide infrastructure, resources, and support to startups. It offers short, intensive programs to prepare startups for rapid growth.

**3. Networking, Collaboration, and Market Access Opportunities-**Networking helps entrepreneurs find partners, mentors, investors, and clients. Collaboration allows the pooling of resources and expertise, while market access facilitates entry into new or larger markets. This area includes:

- **Industry Associations and Chambers of Commerce-** They offer advocacy, policy representation, access to resources, industry-specific knowledge, and networking platforms. For entrepreneurs, these associations help address industry challenges and foster growth.

- **Conferences, Trade Fairs, and Expos-**Entrepreneurs can generate leads, build brand awareness, secure partnerships, and learn from experts. Trade fairs often provide direct access to potential customers and suppliers.

- **Co-working Spaces-** These comprise shared workspaces that provide a professional environment with the necessary infrastructure. They are cost-effective for startups and small businesses, promote collaboration among different professionals, and often host networking events or workshops to foster growth.

- **Startup Meetups and Pitching Events-**Organized gatherings for startups to present their ideas, share experiences, and connect with stakeholders like investors and mentors. These events enable entrepreneurs to gain feedback, secure funding, and form strategic partnerships. They are also valuable for building confidence and refining business ideas.

- **Business-to-Business (B2B) Marketplaces-**Digital or physical platforms that facilitate trade and collaboration between businesses. Entrepreneurs can find suppliers, distributors, or buyers directly. These platforms often include tools for communication, negotiation, and transactions, streamlining business processes**.**

**4. Regulatory and Policy Support-** Government regulations and policies are critical in shaping the entrepreneurial ecosystem by ensuring fair practices and encouraging innovation. It encourages entrepreneurial activity by reducing legal and regulatory challenges. This comprises:

- **Simplified Registration and Licensing**- Streamlining the processes of business registration and licensing can significantly lower entry barriers for entrepreneurs. It Saves time and costs for the entrance of new entrepreneurs. It Encourages the formalization of businesses, granting access to government schemes and even funding.

- **Tax Incentives and Subsidies** -Financial incentives provided by the government help startups manage their resources better during the early stages. It Improves cash flow and profitability for startups.
- **Business-Friendly Policies-**Policies designed to support entrepreneurship and reduce operational hurdles are a cornerstone of a thriving business environment.
- **Intellectual Property (IP) Protection-** It is necessary to Safeguard entrepreneurs' innovations as it is vital to promoting creativity and competitiveness in the long run.
- **Supportive Labor Laws-Generally**, Labor laws balance the rights of employees with the flexibility required by startups to help foster entrepreneurship.

**5. Technical and Technological Support-**These are the spaces designed to foster creativity, collaboration, and innovation. They often house startups, researchers, and academic institutions. This factor includes:

- **Innovation Hubs and Research Parks-** This refers to the financial support made available to entrepreneurs for research, innovation, and product development.
- **Access to Research and Development (R&D) Funding -**This refers to the financial support available to entrepreneurs for research, innovation, and product development.

**IT Support and Digital Assistance –** Assists and support are provided to entrepreneurs to help them to leverage IT solutions, including software, hardware, and digital tools, for their business needs.

**6. Legal and Advisory Services-**Support services are designed to help entrepreneurs navigate the complex legal landscape of starting and running a business. This factor comprises:

- **Legal Clinics and Advisory Services:** Specialized centers or services offering free or low-cost legal advice tailored to small businesses and startups**.**
- **Business Consulting Services-**Professional services offering strategic advice to entrepreneurs on various aspects of business management and growth.

- **Accounting and Tax Support-**Services that help entrepreneurs manage their finances, bookkeeping, and tax compliance**.**

**7. Marketing, Branding, and Customer Acquisition Support-** This refers to resources and services aimed at helping entrepreneurs attract and retain customers while building a strong brand presence. The key factors are:

- **Digital Marketing Training and Tools:** Education and resources to help entrepreneurs use online platforms and digital tools for marketing purposes.
- **Government and NGO-Supported Marketplaces:** Platforms such as online supported by governments or non-governmental organizations (NGOs) to help small businesses access markets.
- **Public Relations Support-** It comprises assistance in managing the business's public image, media relations, and communication strategies. It helps entrepreneurs build positive relationships with the media, stakeholders, and customers.

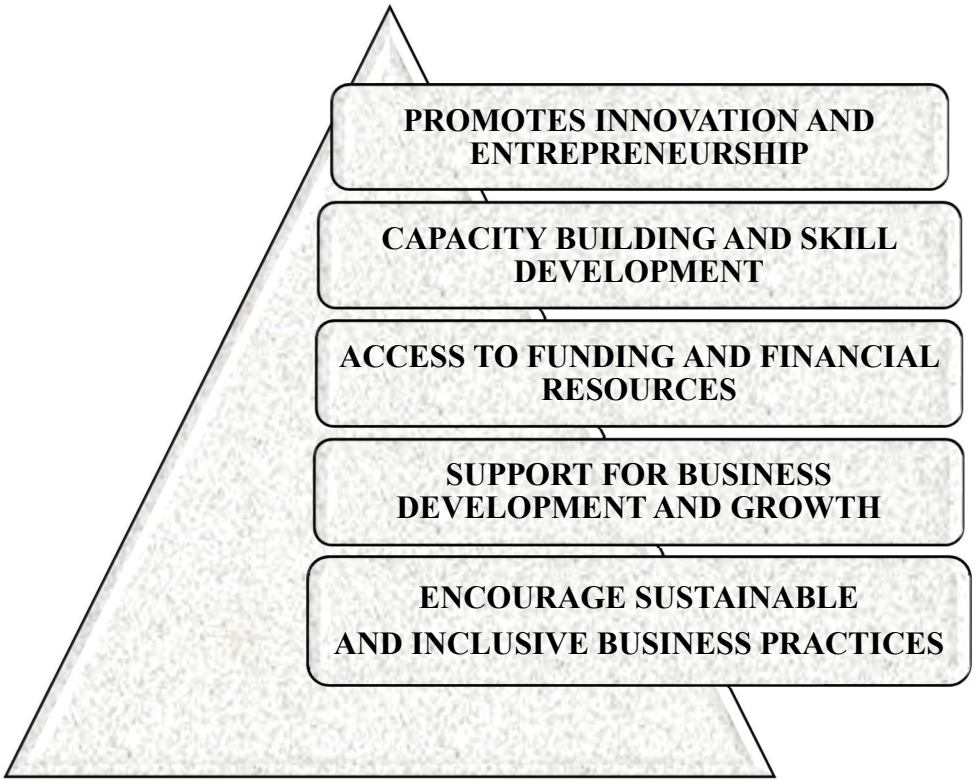
8. **Support for Diverse Entrepreneurs**-Initiatives designed to empower individuals from varied backgrounds, ensuring that underrepresented groups have equal opportunities to succeed in business. The key areas are:

- **Women Entrepreneurs Programs-**Programs specifically designed to support women entrepreneurs by addressing their challenges in starting and scaling businesses.
- **Youth and Minority Support Programs-**Programs aimed at supporting young entrepreneurs and those from minority communities, helping them overcome specific barriers in the business landscape.
- **Rural and Community Development Programs-**Initiatives focused on supporting entrepreneurs in rural and underserved communities to boost local economies and self-sufficiency. Encourages the development of rural industries such as agriculture, handicrafts, and small-scale manufacturing.

**9. Market Access and Export Support-** The services are designed to help entrepreneurs expand their reach to domestic and international markets, enabling them to scale their businesses and compete in the global market. The factors are:

- **E-commerce Platforms:** The online marketplaces and platforms allowing entrepreneurs to sell their products or services to a wide audience locally and globally.
- **Export Assistance Programs** – This factor includes government or private initiatives that help entrepreneurs navigate the export process, from regulatory compliance to finding international buyers.
- **Export Credit Agencies-** The area covers specialized financial institutions or government agencies that provide financial products to businesses involved in exporting.

## 2.5 OBJECTIVES OF ENTREPRENEURSHIP SUPPORT SYSTEM



**1. Promote Innovation and Entrepreneurship:** Foster innovation by providing resources, guidance, and a sustaining environment for aspiring entrepreneurs to develop new ideas and business models.

**2. Capacity Building and Skill Development:** Offer training and workshops to build entrepreneurial skills, including technical, managerial, and leadership abilities, to prepare entrepreneurs for business challenges.

**3. Access to Funding and Financial Resources:** Facilitate access to capital through grants, loans, venture capital, angel investors, and crowdfunding opportunities to help entrepreneurs finance their ventures.

**4. Support for Business Development and Growth:** Provide resources for marketing, sales, legal, and operational aspects to help businesses scale effectively and sustain their growth.

**5. Encourage Sustainable and Inclusive Business Practices:** Promote sustainability and inclusivity by supporting enterprises that focus on social impact, environmental sustainability, and inclusive employment.

## 2.6 IMPORTANCE OF ENTREPRENEURSHIP IN INDIA

**1. Community Support and Social Impact-**Entrepreneurs who create social impact—especially in fields like green technology, education, or health—often gain community support, which helps in customer retention and reputation building. Sustainable ventures are more likely to thrive with a positive community impact**.**

**2. Technology and Innovation- Leveraging** technology can help entrepreneurs streamline operations, reach customers, and adapt to market changes quickly. Innovation sets businesses apart and enables them to respond to environmental and social challenges, aligning with sustainable practices.

**3. Environmental Responsibility-**Embracing eco-friendly practices, reducing waste and ensuring responsible sourcing can attract environmentally conscious customers. Sustainable

business practices are good for the planet and can lead to cost savings and long-term customer loyalty.

**4. Economic Growth and Job Creation-**India has a large working-age population, and entrepreneurship helps create jobs and boost economic activity. By supporting startups and SMEs, the government and private sector can stimulate job creation and reduce dependency on traditional sectors for employment**.**

**5. Innovation and Competitiveness-**An effective support system encourages innovation by providing resources, mentorship, and funding to startups. This fosters a culture of innovation, allowing businesses to develop solutions in technology, agriculture, healthcare, and other critical areas, enhancing India's global competitiveness.

**6. Access to Funding and Investment-**Financial constraints are one of the biggest hurdles for entrepreneurs. Support systems provide access to funding sources like venture capital, angel investments, government grants, and subsidies. Initiatives such as SIDBI, Mudra Bank, and Startup India Seed Fund Scheme play a key role in supporting entrepreneurs financially.

**7. Digital and Technological Support-**With initiatives like Digital India, entrepreneurs in rural and remote areas can access technology and digital platforms to scale their businesses. Support systems facilitate access to e-commerce, digital payments, and marketing platforms, which are essential for growth in today’s economy**.**

**8. Encouraging Women and Marginalized Groups-**Entrepreneurship support systems in India also emphasize inclusivity by empowering women, and minority entrepreneurs. Schemes such as the Stand-Up India scheme aim to provide financial and mentorship support to women and other underrepresented groups, helping foster an inclusive entrepreneurial ecosystem.

**9. Promoting Rural and Small-Scale Entrepreneurship's** large rural population and support systems focus on encouraging rural and agro-based entrepreneurship, which helps prevent urban migration and boosts rural economies. Programs like the Deen Dayal Upadhyaya Grameen Kaushalya Yojana (DDU-GKY) and Rural Self-Employment Training Institutes (RSETI) are currently working successfully to provide rural entrepreneurs with training and available, resources.

## 2.7 SUPPORT AND SUSTAINABILITY OF ENTREPRENEURSHIP

Supporting and sustaining entrepreneurship involves creating a conducive environment where entrepreneurs can thrive over the long term.

**1. Access to Financing-**Entrepreneurs need capital to start and scale businesses. Microfinancing, venture capital, grants, and loans can help startups access the funds they need. For women entrepreneurs, dedicated funds or microloans through programs like those offered by self-help groups (SHGs) can be especially empowering.

**2. Skill Development and Training-**Building entrepreneurs' skills in financial literacy, digital marketing, operations, and management is crucial. Continuous learning opportunities allow entrepreneurs to adapt to changes, innovate, and improve productivity, enhancing the sustainability of their businesses.

**3. Mentorship and Networking-** Mentorship programs can provide guidance and a support system, helping entrepreneurs navigate challenges. Networking opportunities also allow them to share experiences, form partnerships, and access new markets, leading to sustainable growth.

**4. Market Access and Diversification-**Sustainable businesses often have access to local, national, and international markets. Policies or initiatives that help small businesses enter new markets contribute to sustainability by expanding revenue streams and reducing dependency on a single market.

**5. Supportive Policy and Regulatory Environment-**Government policies that encourage entrepreneurship, reduce regulatory burdens, and offer tax incentives can significantly impact sustainability. Policies tailored toward specific groups, like women entrepreneurs, help address unique challenges.

**6. Training and Skill Development-**Many budding entrepreneurs lack essential skills in business management, finance, and marketing. Support systems offer training programs, workshops, and incubators to equip them with these skills, helping them build sustainable businesses.

**7. Policy and Regulatory Support-**A favorable regulatory environment is essential for entrepreneurship.

Support systems advocate for policy changes and simplify procedures, making starting and running businesses easier. Programs like "Make in India," "Startup India," and the ease-of-doing-business reforms have significantly contributed to a more entrepreneur-friendly environment.

## 2.8 MAJOR ENTREPRENEURSHIP SUPPORT SYSTEM IN INDIA

**1. STARTUP INDIA-** The Startup India scheme is an important government scheme launched on 16th January 2016 to promote and support start-ups in India by providing bank finances. The Department organizes it with the motive for the promotion of industry and internal trade,

**2. ATAL INNOVATION MISSION(AIM)-**AIM is a flagship initiative set up by the NITI Ayog in 2016 to create and encourage an environment of innovation and entrepreneurship across various schools, educational organizations, research institutes, and industries, including MSMEs.

**3. MSME SUPPORT AND DEVELOPMENT PROGRAME-**This program aims to provide support to micro small medium enterprises for the growth of the sector.

**4. NATIONAL SKILL DEVELOPMENT CORPORATION**- NSDC provides funding support to enterprises, companies, and organizations to build capacity by extending resources, technical assistance, and knowledge management.

**5. SMALL INDUSTRIES DEVELOPMENT BANK OF INDIA-**Small Industries Development Bank of India (SIDBI) is an independent financial institution aimed at aiding the growth and development of Micro, Small, and Medium Enterprises (MSMEs) which contributed significantly to the national economy concerning the production, employment, and exports.

**6. NATIONAL BANK FOR AGRICULTURE AND RURAL DEVELOPMENT-** NABARD is India's apex development bank, established in 1982 under an Act of Parliament with an aim to promote sustainable and equitable agriculture and rural development. It provides financial assistance to rural entrepreneurs through various credit facilities such as working capital loans, term loans, and crop loans.

**7. INVEST India** is a National Investment Promotion and Facilitation Agency of India, which aims to facilitate the establishment operation, and expansion of the business.

**8. RESEARCH AND DEVELOPMENT SUPPORT-** It is a process of making efforts to gather knowledge to create new products and improve existing products**.**

## 2.9 POINTS TO REMEMBER

1. Effective entrepreneurship support systems provide essential resources like funding, mentorship, and networks that help entrepreneurs overcome barriers and accelerate business growth.

2. A successful support system adapts to changing market trends and leverages technology to provide relevant and up-to-date resources for entrepreneurs.

3. Inclusive entrepreneurship support systems ensure opportunities for diverse groups, including women, minorities, and rural entrepreneurs, promoting equity and enhancing social impact.

4. By investing in entrepreneurship support systems, communities create sustainable economic impact, stimulate innovation, and strengthen resilience against economic downturns.

5. The entrepreneurship support system creates an ecosystem that nurtures entrepreneurial efforts by providing critical resources and a favorable environment, helping individuals transform their ideas into viable, successful businesses.

## 2.10 CHECK YOUR PROGRESS

Q1. The characteristics of an entrepreneur include:

A. Risk bearer

B. Innovator

C. Leader

D. Unprofessional Nature

A) A only

B) A, B, and C only

C) C only

D) D only

Answer: B

Q2. Major entrepreneurship support system in India include:

a) Start-up India

b) NABARD

c) SIDBI

d) SSY

A) a) only

B) a), and b) only

C) c) only

D) a), b), and c) only

Answer: D

Q3. Statement I: ECO stands for Entrepreneurship, Creativity, and Organization.

Statement II: Risk is the possibility of harm or loss in any activity or business.

In the light of the above statements, choose the right option

A. Both statement I and II are correct

B. Both statement I and II are incorrect

C. Statement I is correct, but statement II is incorrect

D. Statement I is incorrect, but statement II is correct

Answer: A

Q4. Explain any two components of the entrepreneurship support system.

……

……

……..…….

Q5. Describe in brief the objectives of the entrepreneurship support system.

……

……

……..…….

Q6. How entrepreneurship in India is important for job creation and economic growth. Explain.

……

……

……..…….

## 2.11 BIBLIOGRAPHY/REFERENCES


- Vasant Desai, Fundamentals of Entrepreneurship and Small Business Management, Himalaya Publishing House, Mumbai, 2009.
- Nadia Yusuf (2014); Role of rural finance in reduction of poverty in the agriculture sector: Northern India; International journal of business and economic development; Vol. 2, No. 2.
- Silvia Prina, (2015); Banking the poor via savings accounts: Evidence from a held experiment; Journal of Development Economics 115 (2015)16 –31.
- Shukla, P., & Mathur, N. (2020). Entrepreneurial skills and business performance: The mediating role of strategic orientation. Journal of Business Research, 117, 332-3
- Todorovic, I., Mihajlov, M., Mihajlovic, I., & Vukovic, D. (2020). Entrepreneurial skills and business performance of SMEs: The mediating role of innovation. Journal of Business Research, 112, 68-79.
- Ajay Nayar, A. P. (2 June 2012). Entrepreneurship: Problems and Challenges Faced. Journal of Entrepreneurship and Management June 2012, Volume 1 (Issue 2), 27-31.
- K., S. B. (Volume 11, Issue 5 May 2023|). Challenges and Opportunities in International. International Journal of Creative Research Thoughts, 232-238.


## 2.12 SUGGESTED READINGS


- Gupta, B, L.& Kumar, A. (2009) Entrepreneurship Development: Mahamaya Publishing House, New Delhi
- Bhagyalaxmi and Dr. Ishwara. (2014) Dual Responsibility of Rural Women Entrepreneurs – Issues and Challenges.
- Anand, A. (2023, April 19). Entrepreneurship in India in 2023: Challenges, Opportunities, and Growth.